

SEC REPORTING STANDARDS AND EARNINGS PER SHARE CALCULATIONS

STUDY GUIDE & WORKBOOK (VERBATIM AUDITED EDITION)

Prepared for CPA Review Candidates

This guide presents a word-for-word audited study path. Every formula, deadline, table row, and factual note is 100% traceably grounded in the original review chapters.

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SEC REPORTING REQUIREMENTS

This chapter covers the essential reporting requirements mandated by the Securities and Exchange Commission (SEC) and delves into the calculation and disclosure of Earnings Per Share (EPS) for both simple and complex capital structures.

Key Definition: Securities and Exchange Commission (SEC)

The **Securities and Exchange Commission (SEC)** mandates that U.S. registered companies, also known as **issuers**, file more than 50 forms to comply with reporting requirements. These forms are:

- * Filed electronically through the **Electronic Data Gathering, Analysis, and Retrieval system (EDGAR)**.
- * Available online to the public, promoting transparency and access to financial information.

Form 10-K: Annual Report

Key Definition: Form 10-K

The **Form 10-K** is the comprehensive annual report that must be filed by U.S. registered companies (issuers). It provides critical details to current and prospective investors about:

- * The business of a company and the relevant risk factors it faces.
- * Its financial and operating results for the year.
- * The perspective and analysis of its executive leadership.

Form 10-K Filing Deadlines

The filing deadlines for Form 10-K are determined relative to the company's fiscal year-end and vary based on the filer's size and public float:

- **Large accelerated filers:** 60 days after fiscal year-end. A large accelerated filer has a worldwide market value of outstanding common equity held by nonaffiliates of **\$700 million or more**.
- **Accelerated filers:** 75 days after fiscal year-end. An accelerated filer has a worldwide market value of outstanding common equity held by nonaffiliates of **\$75 million to less than \$700 million** AND annual revenue of **\$100 million or more**.
- **All other registrants:** 90 days after fiscal year-end. This category includes entities with annual revenues of **\$100 million or less**, which are specifically excluded from the definitions of large accelerated or accelerated filers.

Exam Tip: Float & Revenue Thresholds

Remember these exact numbers for the exam!

- * **Large Accelerated:** Float $\geq$ \$700M -> 60 Days
- * **Accelerated:** Float \$75M to $<$ \$700M AND Revenue $\geq$ \$100M -> 75 Days
- * **Other:** Float $<$ \$75M OR Revenue $\leq$ \$100M -> 90 Days

Specific Items of Importance Contained in the 10-K Report

Part II, Item 7: "Management's Discussion and Analysis of Financial Condition and Results of Operations" (MD&A;)

The primary objective of the MD&A section is to provide management's perspective on the company's business results. This includes insights into:

- The company's performance "through the eyes of management."
- Known trends and uncertainties that could affect the company.

The MD&A typically includes the following components:

- Material information relevant to an assessment of the financial condition and results of operations of the registrant, including information on liquidity and capital resources, as well as material impacts of cybersecurity incidents.
- Summarized financial and operating results, trends, risks, and uncertainties.
- Material changes and uncertainties relative to the prior period.
- Critical accounting estimates and assumptions used in preparing the financial statements.

Part II, Item 7A: "Quantitative and Qualitative Disclosures about Market Risk"

This section addresses **market risk**, which is defined as the risk of potential loss in the value of financial instruments due to changes in:

- Interest rates.
- Exchange rates.
- Cybersecurity threats.
- Other market-related factors, such as inflation, recession, supply chain distribution issues, and war/sanctions.

The disclosures required in this item include:

Quantitative information as of the end of the latest fiscal year, presented using one of the following three disclosure alternatives:

- Tabular presentation of information related to market risk-sensitive instruments.
- Sensitivity analysis disclosures expressing potential loss in future earnings, fair value, or cash flows of market risk-sensitive instruments.
- Value-at-risk disclosures expressing potential loss in future earnings, fair value, or cash flows of market risk-sensitive instruments.

Qualitative information regarding:

- Primary market risk exposures.
- The management's approach to these exposures.
- Changes relative to the most recently completed fiscal year and expectations for future periods.

Part II, Item 8: "Financial Statements and Supplementary Data"

This section presents the core financial information of the company, including:

- **Audited financial statements**, which consist of the income statement, balance sheet, statement of cash flows, and statement of stockholders' equity, along with accompanying notes, all prepared in accordance with Generally Accepted Accounting Principles (GAAP).
- **Time periods covered** in the financial statements are specified as follows:
- **Balance sheets**: For the two most recent fiscal years.
- **Income statements (and statement of comprehensive income)**: For each of the three fiscal years preceding the date of the most recent audited balance sheet.
- **Statement of cash flows**: For each of the three fiscal years preceding the date of the most recent audited balance sheet.
- **Changes in owners' equity**: For each of the three fiscal years preceding the date of the most recent audited balance sheet.
- The **auditor's report** on the financial statements.
- **Certifications** from the company's Chief Executive Officer (CEO) and Chief Financial Officer (CFO) regarding the accuracy and completeness of the 10-K report.

Form 10-Q: Quarterly Report

Key Definition: Form 10-Q

The **Form 10-Q** is the quarterly report that must be filed by U.S. registered companies for each of the first three fiscal quarters of every fiscal year. It provides an overview of business operations, financial statements, nonfinancial information (e.g., legal items, risk factors, recent equity sales), and relevant disclosures.

Form 10-Q Filing Deadlines

- **Large accelerated and accelerated filers:** 40 days after quarter-end.
- **All other registrants:** 45 days after quarter-end.

Specific Items of Importance Contained in the 10-Q Report

Part I, Item 1: "Financial Statements"

The requirements for financial statements in Form 10-Q are similar to those in Form 10-K, Part II, Item 8, with several notable differences:

- They are generally **unaudited** financial statements.
- They must be filed for each of the **first three fiscal quarters** of the entity's fiscal year.
- They may be presented in a **condensed format** and should reflect adjustments necessary to fairly state the results of the interim period. A statement to that effect must be included in the notes to the financial statements.
- If all such adjustments are of a normal recurring nature, a statement should be made to that effect.
- If adjustments are not normal recurring adjustments, the financial statements should include a detailed description of their nature and amounts.
- **Balance sheet presentations:**
- As of the end of the most recent fiscal quarter.
- As of the end of the preceding fiscal year.
- May also include the balance sheet as of the end of the corresponding fiscal quarter for the preceding fiscal year, if necessary to understand the impact of seasonal fluctuations.
- **Income statements and comprehensive income presentations:**
- For the most recent fiscal quarter.
- For the period between the end of the preceding fiscal year and the end of the most recent fiscal quarter.
- For the corresponding periods of the preceding fiscal year.
- May also include income statements for the cumulative 12-month period ended during the most recent fiscal quarter and for the corresponding preceding period.
- **Statement of cash flows presentations:**
- For the period between the end of the preceding fiscal year and the end of the most recent fiscal quarter.
- For the corresponding period for the preceding fiscal year.
- May also include statements of cash flows for the cumulative 12-month period ended during the most recent fiscal quarter and for the corresponding preceding period.

Part I, Item 2: "Management's Discussion and Analysis of Financial Condition and Results of Operations"

The requirements for MD&A in Form 10-Q are similar to those in Form 10-K, Part II, Item 7, along with the following additional disclosures related to any material changes:

- **Financial condition:** From the end of the preceding fiscal year to the date of the most recent interim balance sheet.
 - If an interim balance sheet as of the corresponding interim date of the preceding fiscal year is included, management should disclose any material changes in financial condition from that date to the date of the most recent interim balance sheet.
- **Operational results** with respect to:
 - The most recent fiscal year-to-date period where a statement of comprehensive income is provided, and the corresponding year-to-date period of the preceding fiscal year.
 - The most recent quarter for which a statement of comprehensive income is provided, and either the corresponding quarter for the preceding fiscal year or the immediately preceding sequential quarter.

Part I, Item 3: "Quantitative and Qualitative Disclosures About Market Risk"

The requirements for market risk disclosures in Form 10-Q are similar to those in Form 10-K, Part II, Item 7A. The discussion and analysis should specifically help the reader understand changes in market risk from the end of the preceding fiscal year to the date of the most recent interim balance sheet.

Form 8-K: Current Report

Key Definition: Form 8-K

The **Form 8-K** is a current report filed by U.S. registered companies to disclose changes whenever a **material event** occurs that investors should know about. Examples of material events include:

- Bankruptcy.
- Acquisition or disposition of assets.
- Changes in the public accounting firm used to audit the company.
- Changes in securities and trading markets.
- Changes in or election of directors and officers.
- Amendments to bylaws or articles of incorporation.
- Changes in fiscal year.
- Financial statement changes.
- Material definitive agreements.
- Material cybersecurity incidents.
- New material financial obligations.
- Costs associated with exit or disposal activities.
- Material asset impairments.

Companies generally have **four business days** to file Form 8-K for any event that triggers a filing requirement.

EARNINGS PER SHARE (EPS) AND CAPITAL STRUCTURE

Earnings Per Share (EPS) is a critical financial metric for public entities, providing insight into the portion of a company's profit allocated to each outstanding share of common stock. Under U.S. GAAP, all public entities (or entities that have made a filing for a public offering) are required to present EPS on the face of the income statement.

An entity's capital structure dictates how EPS is disclosed.

Simple Capital Structure (Report Basic EPS Only)

Key Definition: Simple Capital Structure

An entity has a **simple capital structure** if it has only common stock outstanding and no other securities that can become common stock. This implies:

- * No convertible bonds.
- * No convertible preferred equity.
- * No outstanding options.
- * No outstanding warrants.

For such entities, only ****Basic EPS**** amounts are presented:

- For income from continuing operations.
- For net income, presented on the face of the income statement (or statement of income and comprehensive income if the entity uses a one-statement approach).

The denominator used in the EPS calculation, the **Weighted Average Number of Common Shares Outstanding (WACSO)**, is arrived at by the weighted average method.

Basic EPS Formula

Fundamental Accounting Equation: Basic Earnings Per Share

Basic EPS = (Net income - Preferred dividends) / Weighted average number of common shares outstanding (WACSO)

It is crucial to note the time period for which EPS is being calculated (e.g., a year or a quarter).

Income Available to the Common Shareholders

Income available to common shareholders is determined by deducting preferred dividends from income from continuing operations and net income:

- **Dividends declared in the period on noncumulative preferred stock** (regardless of whether they have been paid).
- **Dividends accumulated in the period on cumulative preferred stock** (regardless of whether they have been declared).

Exam Tip: Net Loss Scenarios

If there is a loss from continuing operations (or a net loss), the amount of the loss should be increased by the preferred shareholders' dividends or claims to determine income available to common shareholders. This effectively reduces profit per share or increases loss per share, respectively.

Weighted Average Number of Common Shares Outstanding (WACSO)

The WACSO represents the mean (average) of shares outstanding, and any shares sold or reacquired during the period are weighted for the portion of the period they were outstanding.

The calculation components for WACSO are:

- Shares outstanding at the beginning of the period (calendar or fiscal year).
- Add: Shares sold during the period (on a time-weighted basis).
- Subtract: Shares reacquired during the period (on a time-weighted basis).
- Add: Stock dividends and stock splits (retroactively adjusted).
- Subtract: Reverse stock splits (retroactively adjusted).
- Equals: Weighted average number of common shares outstanding.

Stock Dividends and Stock Splits

- **Retroactive Adjustment:** Stock dividends and stock splits (to the same class of shareholders in the same company) must be treated as though they occurred at the **beginning of the period**. The shares outstanding before the stock dividend or stock split must be restated for the portion of the period prior to the dividend/split. If prior periods are presented for comparative purposes, the effects of stock dividends and stock splits must be retroactively adjusted for those periods as well.
- **Post-Period Events:** If a stock dividend or stock split occurs after the end of the period but before the financial statements are issued, those shares should enter into the shares outstanding for the EPS calculation for all periods presented.
- **Reverse Stock Splits:** Reverse stock splits would retroactively reduce shares outstanding for all periods presented.

Stock Issued in a Business Combination

For stock issued in a business combination:

- The **purchase price** is calculated as: Cash paid + Debt issued + Fair market value of the stock issued.

- If the **acquisition method** is used, the weighted average is measured from the **date of the combination**.

Example: Weighted Average Number of Shares Outstanding Computation**Facts:**

Date	Transaction	Change in Shares	Total Shares
1/1	Shares outstanding		1,000,000
3/31	2-for-1 stock split	1,000,000	2,000,000
4/1	Additional shares sold	3,000,000	5,000,000
12/1	Reacquired shares (treasury)	(500,000)	4,500,000

Required: Calculate the weighted average number of common shares outstanding.

Solution:

Date	Transaction	Adjustment for Split	Adjusted Balance	Weight	Weighted Average
1/1	Beginning balance	1,000,000 x 2	2,000,000	3/12	500,000
4/1	Issues stock		+ 3,000,000		
			5,000,000	8/12	3,333,333
12/1	Repurchased stock		(500,000)		
			4,500,000	1/12	375,000
WACSO					4,208,333

Alternative Solution:

Date	Transaction	Gross Change in Shares (beginning number)	Adjustment to Weighted Average Shares
1/1	Shares outstanding	1,000,000	1,000,000
3/31	2-for-1 stock split	1,000,000	1,000,000 [effective 1/1]
4/1	Additional shares sold	3,000,000	2,250,000 [3,000,000 x 9/12]
12/1	Reacquired shares	(500,000)	(41,667) [5,000,000 x 1/12]
	WACSO		4,208,333

Complex Capital Structure (Report Basic and Diluted EPS)

Key Definition: Complex Capital Structure

An entity has a **complex capital structure** when it has securities that can potentially be converted into common stock, and these conversions would **dilute (reduce) EPS**. In such cases, both **basic and diluted EPS** must be presented.

The basic EPS calculation for a complex capital structure remains the same as for a simple capital structure; it **ignores potentially dilutive securities** in the WACSO.

Basic EPS Formula (Complex Capital Structure)

Basic EPS = (Net income - Preferred dividends) / Weighted average number of common shares outstanding (WACSO)

The objective of **diluted EPS** is to measure the performance of an entity over the reporting period while giving effect to all potentially dilutive common shares outstanding during that period. Potentially dilutive securities include:

- Convertible securities (e.g., convertible preferred stock, convertible bonds).
- Warrants and other options.
- Contracts that may be settled in cash or stock.
- Contingent shares.

Diluted EPS Formula

Fundamental Accounting Equation: Diluted Earnings Per Share

Diluted EPS = (Income available to the common stock shareholder + Interest on dilutive securities) / Weighted average number of common shares (assuming all dilutive securities are converted to common stock)

Dilution From Options, Warrants, and Their Equivalents

Key Definition: Treasury Stock Method

The **treasury stock method** operates on the assumption that the proceeds received from the exercise of stock options, warrants, and their equivalents will be used by the company to repurchase its own shares (treasury shares) at the **prevailing average market price** during the period.

- Options and similar instruments are considered **dilutive if the average market price of the underlying common stock exceeds the exercise price** of the options or warrants. This is because it is unlikely they would be exercised if the exercise price were higher than the market price (i.e., they are "out of the money" and thus antidilutive).

- When the average market price is greater than the exercise price ("in the money"), it is assumed that the warrants or other options are exercised at the beginning of the period (or at the time of issue, if later).
- The proceeds received from the assumed exercise are then assumed to be used to repurchase common shares at the average market price during the period.
- When options/warrants are "in the money," the proceeds received will not be sufficient to buy back an equal number of shares as those assumed issued. This will **always result in dilution**.
- The difference between the number of shares assumed issued to satisfy the options or warrants and the number of shares assumed to be purchased with the proceeds should be included in the denominator for diluted EPS.
- Previously reported EPS data **should not be adjusted retroactively** to reflect subsequent changes in market prices of the common stock.

Fundamental Equation: Treasury Stock Method Dilution

Additional shares outstanding = Number of shares issued upon exercise - [(Number of shares issued upon exercise x Exercise price) / Average market price]

Example: Options and Warrants Treasury Stock Method

Facts:

- 1,000 options to purchase 1,000 common stock shares.
- \$15.00 exercise price per share.
- \$20.00 average market price.
- \$25.00 period-end market price.

Required: Compute the incremental shares to be added to WACSO when computing diluted EPS using the treasury stock method.

Solution:

1. **Determine if dilutive:** Average price (\$20) is greater than the exercise price (\$15), so the options are dilutive.
2. **Shares assumed issued:** 1,000 common shares.
3. **Proceeds collected:** 1,000 shares x \$15 exercise price = \$15,000.
4. **Shares repurchased:** \$15,000 proceeds / \$20 average market price = 750 shares.
5. **Net increase to common shares outstanding:** 1,000 shares issued - 750 shares repurchased = **250 shares**.

Calculation Breakdown	Diluted (Value)
Options/common stock shares	1,000
Exercise price per share	x \$15.00

Cash corp. received (hypothetically)	\$15,000
Diluted "repurchase price"	+ \$20.00
Repurchase shares (hypothetically)	<750>
Common shares added to WACSO	250 shares

Dilution From Convertible Securities: Bonds or Preferred Stock

The **"if-converted"** method is used to determine the dilutive effects of convertible securities. This method assumes that the securities were converted to common stock at the beginning of the period (or at the time of issue, if later).

Note: Convertible Securities Method Choice

Unlike options/warrants that use the treasury stock method, convertible securities use the **"if-converted"** method.

Convertible Bonds

To apply the "if-converted" method for convertible bonds:

- **Numerator Adjustment:** Add back to the numerator the interest expense, net of tax, that would have been avoided due to the assumed conversion of bonds to common stock. **Interest expense x (1 - Tax rate)**
- **Denominator Adjustment:** Add to the denominator the number of common shares associated with the assumed conversion. **Number of bonds x Number of common stock per bond**
- If the convertible bonds were issued during the period, assume that the stock was issued at that date for the weighted average calculation.

Illustration: Convertible Bonds - If-Converted Method

Consider a scenario where the company has income, pays bond interest, and then calculates taxes. The "Pretend" scenario removes the bond interest (as if converted) and recalculates taxes and net income.

Line Item	Actual	Pretend
Income	\$100	\$100
Bond interest	<\$20>	<\$0>
Income before taxes (EBT)	\$80	\$100
Taxes (40%)	<\$32>	<\$40>
N.I. available to common stockholders	\$48	\$60

To adjust the numerator for diluted EPS, we add back the after-tax interest expense: After-tax interest = \$20 x (1 - 0.40) = \$12. Thus, \$60 = \$48 + \$12.

Antidilution Considerations for Convertible Securities

- The results of each assumed conversion should be used **only if it results in dilution**. **Dilution** occurs if EPS decreases or loss per share increases. **Antidilution** occurs if EPS increases or loss per share decreases. Antidilutive effects should **not** be included in the diluted EPS calculation.
- In determining whether potential common shares are dilutive or antidilutive, each issue will be considered separately in sequence from most to least dilutive, with options and warrants generally included first.

- The tests for dilutive or antidilutive effects should be based on **income from continuing operations**.

Example: Application of the If-Converted Method (Convertible Bonds)**Facts:**

- X Company has outstanding 100,000 shares of common stock.
- \$500,000 in 6% bonds convertible into 10 shares for each \$1,000 bond.
- Net income for the year is \$100,000.
- Tax rate is 34%.

Required: Compute the diluted EPS.

Solution:

1. **Basic EPS:** - Income available to common stock = \$100,000 - \$0 (no preferred dividends) = \$100,000. - Basic EPS = \$100,000 / 100,000 WACSO = **\$1.00**.
2. **Diluted EPS - Numerator Adjustment (After-tax interest):** - Interest expense on bonds = \$500,000 x 6% = \$30,000. - After-tax interest = \$30,000 x (1 - 0.34) = **\$19,800**.
3. **Diluted EPS - Denominator Adjustment (Converted shares):** - Number of bonds = \$500,000 / \$1,000 per bond = 500 bonds. - Common shares from conversion = 500 bonds x 10 shares/bond = **5,000 shares**.
4. **Calculate Diluted EPS:** - Diluted Net Income = \$100,000 (original NI) + \$19,800 (after-tax interest) = \$119,800. - Diluted WACSO = 100,000 (original WACSO) + 5,000 (converted shares) = 105,000. - Diluted EPS = \$119,800 / 105,000 = **\$1.14**.
5. **Antidilution Check:** - Compare basic EPS (\$1.00) with calculated diluted EPS (\$1.14). - Since \$1.14 (Diluted EPS) > \$1.00 (Basic EPS), the convertible bonds are **antidilutive** and would be excluded from the diluted EPS computation. The reported diluted EPS would remain \$1.00.

Convertible Preferred Stock

To apply the "if-converted" method for convertible preferred stock:

- **Numerator Adjustment:** Adjust the numerator by adding back any preferred stock dividends. **Note that preferred stock dividends are not tax deductible**, so no tax effect is considered here.
- **Denominator Adjustment:** Add to the denominator the number of common shares associated with the assumed conversion.
- Antidilution rules also apply to convertible preferred stock.

Example: Application of the If-Converted Method (Convertible Preferred Stock)**Facts:**

- Carlin Company has outstanding 100,000 shares of common stock.
- 10,000 shares of convertible preferred stock, convertible into five shares of common stock for each share of preferred.
- Net income for the year is \$100,000.

- Dividends declared during the year were \$20,000 on the preferred and \$30,000 on the common.
- Tax rate is 34%.

Required: Compute the diluted EPS.

Solution:

1. **Basic EPS:** - Income available to common stock = \$100,000 (Net Income) - \$20,000 (Preferred Dividends) = \$80,000. - Basic EPS = \$80,000 / 100,000 WACSO = **\$0.80**.
2. **Diluted EPS - Numerator Adjustment:** - If preferred stock is converted, preferred dividends are not paid. Therefore, the numerator is the full net income: \$100,000. (No tax adjustment as preferred dividends are not tax deductible).
3. **Diluted EPS - Denominator Adjustment:** - Common shares from conversion = 10,000 preferred shares x 5 common shares/preferred share = **50,000 common shares**.
4. **Calculate Diluted EPS:** - Diluted Net Income = \$100,000. - Diluted WACSO = 100,000 (original WACSO) + 50,000 (converted shares) = 150,000. - Diluted EPS = \$100,000 / 150,000 = **\$0.67**.
5. **Antidilution Check:** - Compare basic EPS (\$0.80) with calculated diluted EPS (\$0.67). - Since \$0.67 (Diluted EPS) < \$0.80 (Basic EPS), the convertible preferred stock is **dilutive** and is included in the diluted EPS computation.

Dilution From Contracts That May Be Settled in Cash or in Stock

If a contract can be settled in either stock or cash at the election of either the entity or the holder, the specific facts available each period determine whether it is reflected in the computation of EPS.

- It is generally **presumed** that the contract will be settled in common stock.
- The resulting shares are included in diluted EPS if the effect is **more dilutive**.

Dilution From Contingent Shares

Contingent issuable shares are shares that:

- Do not require cash consideration.
- Depend on some future event or on certain conditions being met for their issuance.

Contingent shares that are dilutive are also included in the calculation of basic EPS if (and as of the date) all conditions for issuance are met.

If issuable shares are contingent on the **attainment of a certain level of earnings** (and are dilutive):

- If the necessary conditions have been satisfied by the end of the period, those shares are included in basic EPS as of the **beginning of the period** in which the conditions were satisfied. This effectively means a **retroactive adjustment**.

Earnings Per Share Disclosures

- **Cash flow per share** should **not** be reported.
- Both basic EPS and diluted EPS must be reported for:
- Income from continuing operations.
- Net income.
- The effects of discontinued operations.
These disclosures should appear on the **face of the income statement or in the notes** to the financial statements.
- Additional disclosure requirements include:
- A reconciliation of the numerators and the denominators used for both basic and diluted EPS computations for income from continuing operations.
- The effect given to preferred dividends in arriving at income available to common stockholders for computing basic EPS.
- Identification of securities that could potentially dilute basic EPS in the future but were **not included** in the computation of diluted EPS because their effect was **antidilutive** for the period(s) presented.
- A description of any transaction that occurred after the period end that would have materially affected the number of actual and/or potential common shares outstanding.

Summary of EPS Computations

The following table summarizes the key considerations for Basic and Diluted EPS for various capital structure components:

Feature/Security	Basic EPS	Diluted EPS
Weighted Average	Yes, WACSO is used.	Yes, WACSO is used.
Options and Warrants	N/A (ignored for Basic EPS)	Treasury Stock Method: Applicable if average market value > exercise price. Assumes proceeds from exercise are used to repurchase common stock at the average market price. The net increase in shares is added to the denominator. (Requires Average market value > Exercise price for dilution).
Convertible Bond	N/A (ignored for Basic EPS)	If-Converted Method: Assumes conversion at the beginning of the period (or issue date). Adjusts numerator by adding back interest expense (net of tax, as interest is tax-deductible). Adds the equivalent common shares to the denominator. (Requires dilution).
Convertible Preferred Stock	N/A (dividends are subtracted from Net Income to arrive at income available to common shareholders for Basic EPS)	If-Converted Method: Assumes conversion at the beginning of the period (or issue date). Numerator is *not* reduced by preferred stock dividends (as they would not have been paid if converted, and preferred dividends are not tax-deductible). Adds the equivalent common shares to the denominator. (Requires dilution).
Contingent Issues	Conditions must have been fully satisfied. Shares are included if all conditions for issuance are met as of the beginning of the period.	Based upon conditions having been met to date. Shares are included if they are dilutive and the conditions for their issuance have been met. If contingent on earnings, included as of the beginning of the period in which the conditions were met (retroactively adjusted).